Morgan Stanley | RESEARCH

IDEA

February 22, 2026 09:00 PM GMT

Yageo Corp. | Asia Pacific

4Q Preview - Demand Remains Strong

WHAT'S CHANGED

Yageo Corp. (2327.TW)	From	To
Price Target	NT$293.00	**NT$305.00**

Transformation journey is ongoing, but demand continues to surprise on the upside, with 4Q revenue coming in above management's guidance. We also continue to see favorable pricing dynamics, starting with Tantalum capacitors, to inductors, to r-chips. We stay OW.

Key Takeaways

- 4Q rev is above guidance; which should have positive implications for margins.
- We expect 1Q to see q/q growth, in-line with historical seasonality, supported by overall demand strength and favorable pricing.
- Looking for mgmt's comments on non-AI demand outlook for CY26.

4Q preview – better than guidance: Unaudited revenue was NT$36bn (+9% q/q, +20% y/y), which was meaningfully above management's guidance of flat revenue, and 4% above our previous forecast and the Street. We think this was driven by better pull-forward demand, even for non-AI segments. This stronger AI revenue and overall larger scale, should drive some positive margins for the quarter. As a result, we forecast GM/OpM to expand by 60bps/90bps q/q, respectively, to reach 36.8% GM (30bps above the Street) and 23.7% OPM (60bps above the Street). This aligns with management's guidance of slight q/q expansion. We forecast 4Q net profit to come in at NT$7.2B (+13% q/q, +94% y/y) for EPS of NT$3.50, 11% above the Street.

1Q to grow in-line with seasonality: Yageo reported strong January revenue, at NT $13.0B (+5% m/m, +27% y/y). While Feb will likely trend down due to Chinese New Year (CNY) holidays, we believe overall 1Q revenue should still grow q/q supported by demand from AI, as well as a favorable pricing environment for Tantalum capacitors, r-chips, and inductors. We now forecast 1Q26 revenue to grow ~1% q/q to reach NT$36.5B (+17% y/y) - 3% above the Street - with margins to stay flattish q/q (10bps above the Street). This should result in 1Q net profit reaching NT$7.1B (-2% q/q, +29% y/y) for EPS of ~NT$3.45 (6% above the Street).

Stay OW, raising price target 4% to NT$305: This implies 21x/18x CY26/27e P/E, above its five-year historical range of 8-18x, which we think is justified by its ongoing transformation initiatives. Also, vs. its global passive component peers, we believe Yageo still looks undervalued with higher ROE and margins, but lower P/E vs its Japanese peers (which trade on average at 20x+ P/E).

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao
Equity Analyst
Howard.Kao@morganstanley.com +886 2 2730-2989

Sharon Shih
Equity Analyst
Sharon.Shih@morganstanley.com +886 2 2730-2865

Irene Yen
Research Associate
Irene.Yen@morganstanley.com +886 2 2730-2869

Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$305.00
Up/downside to price target (%)	19
Shr price, close (Feb 11, 2026)	NT$256.00
52-Week Range	NT$304.50-96.50
Sh out, dil, curr (mn)	1,997
Mkt cap, curr (mn)	NT$511,197
EV, curr (mn)	NT$538,022
Avg daily trading value (mn)	NT$8,098

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT$)**	9.58	11.73	14.75	16.68
Prior EPS (NT$)**	-	11.41	14.26	16.56
EPS (NT$)§	40.96	11.29	14.81	17.39
Revenue, net (NT$ mn)	121,667	132,930	148,645	155,729
EBITDA (NT$ mn)	33,014	39,237	46,275	50,676
ModelWare net inc (NT $ mn)	19,356	24,076	30,283	34,258
P/E	14.1	19.7	17.4	15.3
P/BV	1.7	2.5	2.5	2.3
RNOA (%)	10.2	12.0	15.2	17.2
ROE (%)	14.1	14.8	15.7	16.4
EV/EBITDA	9.1	11.9	10.9	9.6
Div yld (%)	3.1	1.8	2.5	3.5
FCF yld ratio (%)**	1.5	5.7	5.9	7.1
Leverage (EOP) (%)	16.5	(3.5)	(11.4)	(18.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Yageo Corp. 2327.TW		
4Q GM	↑ Likely upside surprise	↑ Modest revision higher

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

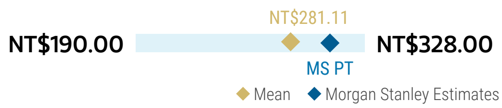
Risk Reward – Yageo Corp. (2327.TW)

Transformation Initiatives Ongoing; OW

PRICE TARGET NT$305.00

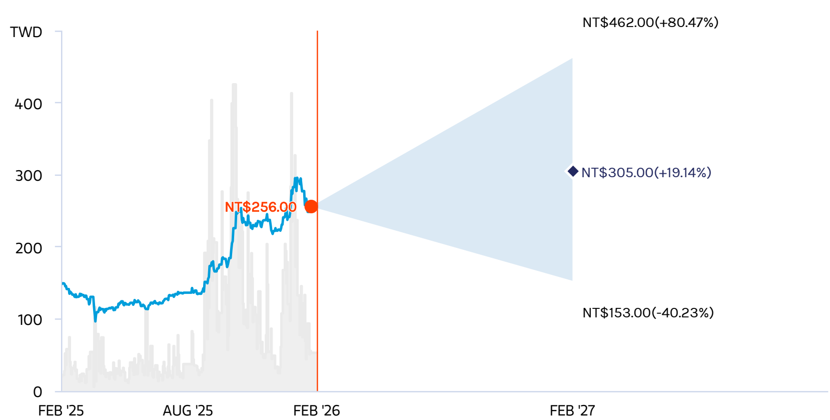
Base-case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 10%, terminal growth rate 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



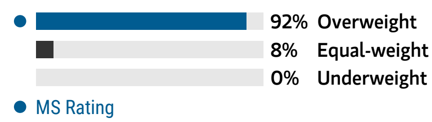
Key: Historical Stock Performance; Current Stock Price; Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Yageo remains active in its transformation initiatives, fulfilling management's focus on broadening its product portfolio by becoming a total solution provider.
- Premium products have increased to 70%+ of the total company mix (up from 30% before 2018).
- The utilization rate continues to improve, especially for standard products, which should help overall margins.
- We expect further sales and cost synergies to be seen in the coming years.
- All of this should help support the stock to re-rate to 21x CY26e P/E (18x CY27e P/E), above its five-year historical trading range.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	*Positive*
Self-help:	*Positive*
Special Situation:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$462.00

31x 2026e EPS

Demand grows faster than expected with earnings showing significant re-acceleration: 1) Demand improves significantly, driving pricing power to Yageo for premium and standard products alike. 2) Yageo makes meaningful progress into AI, driving significant share gains. 3) Yageo takes on more acquisition initiatives to further widen its product portfolio, 4) Yageo discloses AI revenue breakdown, making it easier for investors to track its AI progress.

BASE CASE NT$305.00

21x 2026e EPS

Stable demand growth into 2026: 1) Utilization remains high for premium products. 2) Utilization improves for standard products as consumer tech demand remains resilient. 3) Transformation and synergies are ongoing with continued active initiatives. 4) Yageo continues to drive expansion into the AI realm and slowly gains market share.

BEAR CASE NT$153.00

10x 2026e EPS

Earnings deteriorate further as macro conditions weaken and demand falls off again: 1) Non-AI demand starts to weaken into CY26, despite AI demand remaining strong. 2) Pricing power shifts to end customers with heightened competition amongst peers. 3) Acquisitions don't bear fruit, resulting in layoffs and leading to cost burdens. 4) Automotive and industrial demand deteriorates further, hampering Yageo's premium business. 5) Yageo doesn't make any material advancements into AI.

Risk Reward – Yageo Corp. (2327.TW)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
MLCC ASP y/y (%)	(2.5)	0.6	0.7	0.0
MLCC GM (%)	31.6	31.7	33.3	34.8
r-chip ASP y/y (%)	(0.1)	0.8	2.5	0.2
r-chip GM (%)	42.0	43.4	44.9	46.2

INVESTMENT DRIVERS

- Transformation into global total solutions service provider
- Premium/standard sales mix
- Utilization rates and capacity
- Inventory and pricing

GLOBAL REVENUE EXPOSURE

- 0-10% Japan
- 10-20% APAC, ex Japan, Mainland China and India
- 20-30% Europe ex UK
- 20-30% Mainland China
- 20-30% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

RISKS TO DOWNSIDE

- Slower-than-expected end-demand recovery
- Escalating US/China trade tensions
- Weaker automotive and industrial demand

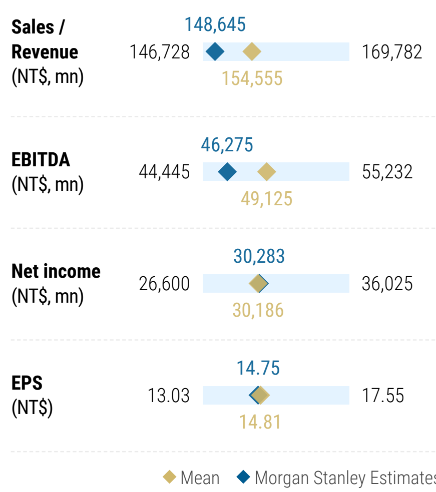
OWNERSHIP POSITIONING

Inst. Owners, % Active 60.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Details for Yageo 4Q25 Earnings Virtual NDR Conference Call

Pre-registration is required.

Date and time: February 25, Wednesday, 4.00pm Taiwan / HK / China / Singapore

Speakers: Mr. David Wang (President & CEO), Mr. Eddie Chen (Co-COO), Mr. Claudio Lollini (Co-COO), Mr. Gavin Zhong (CFO)

Webcast URL: https://morganstanley.webcasts.com/starthere.jsp?ei=1749578&tp_key=0c1adbb23a

Webcast URL for PRC: https://morganstanley.cnwebcasts.cn/starthere.jsp?ei=1749578&tp_key=0c1adbb23a

Click the webcast link and enter your name and e-mail address. If you have pre-registered, simply log-in again with your registered e-mail address five minutes before the start time.

Replay will be available through the same webcast link post-event.

Only pre-registered clients will be allowed to join the webcast.

RSVP – Please register via the webcast links above or contact your Morgan Stanley Sales Representative.

4Q25 Results Preview

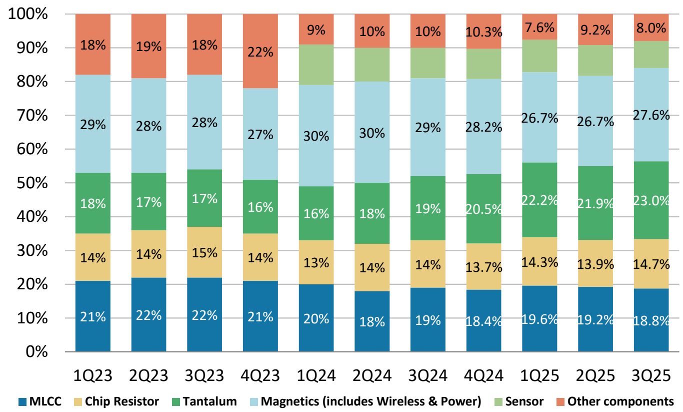
Exhibit 1: 4Q25 Results Preview

	Results				
NT$mn	**MS Est.**	**QoQ**	**YoY**	**Cons**	**Variance**
Net sales	**35,968**	**9%**	**20%**	**34,514**	**4%**
COGS	-22,731	8%	13%	-21,907	4%
Gross profit	**13,237**	**11%**	**33%**	**12,607**	**5%**
Operating expenses	-4,698	6%	2%	-4,608	2%
Operating income	**8,539**	**13%**	**59%**	**7,999**	**7%**
Non-operating income	610	-6%	-31%	630	-3%
Pre-tax income	**9,148**	**11%**	**46%**	**8,629**	**6%**
Income tax	-1,921	6%	-23%	-2,134	-10%
Net income	**7,192**	**13%**	**94%**	**6,495**	**11%**
EPS (NT$)	**3.50**	**13%**	**92%**	**3.16**	**11%**
Margins (%)		***ppt***	***ppt***		***ppt***
Gross margin	36.8%	0.6	3.6	36.5%	0.3
Operating margin	23.7%	0.9	5.9	23.2%	0.6
Pre-tax margin	25.4%	0.6	4.6	25.0%	0.4
Net margin	20.0%	0.8	7.6	18.8%	1.2

Source: Visible Alpha, Morgan Stanley Research estimates (E).

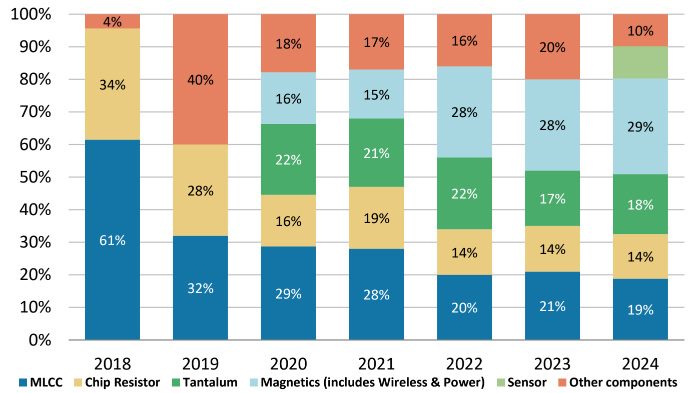
Exhibits

Exhibit 2: Quarterly Sales, by Product, 1Q23-3Q25



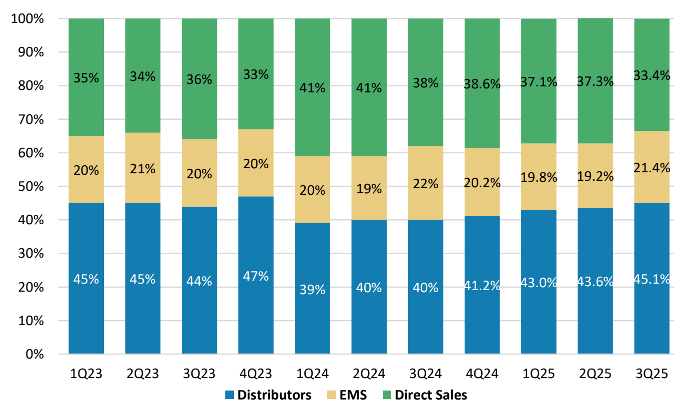
Source: Company data, Morgan Stanley Research

Exhibit 3: Annual Sales, by Product, 2018-24



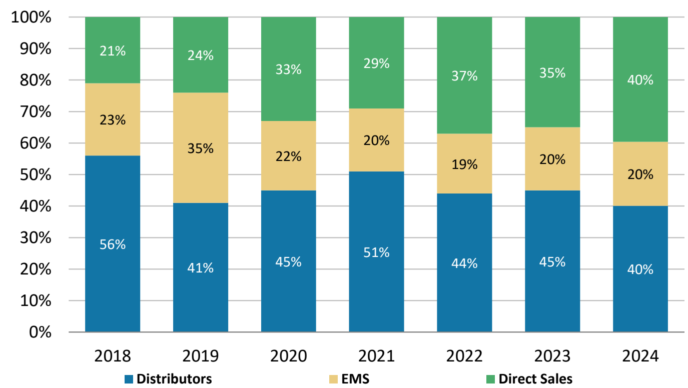
Source: Company data, Morgan Stanley Research

Exhibit 4: Quarterly Sales, by Channel, 1Q23-3Q25



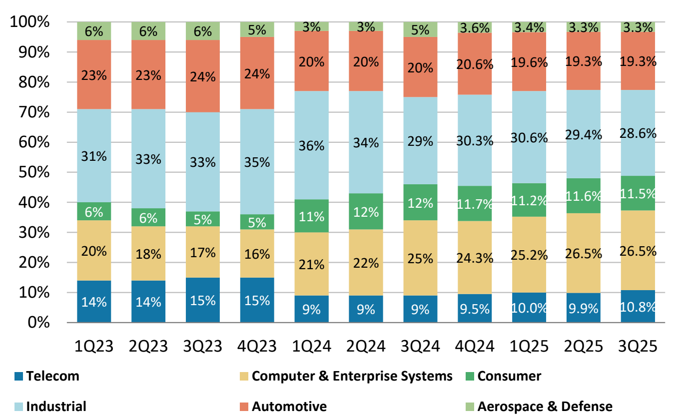
Source: Company data, Morgan Stanley Research

Exhibit 5: Annual Sales, by Channel, 2018-24



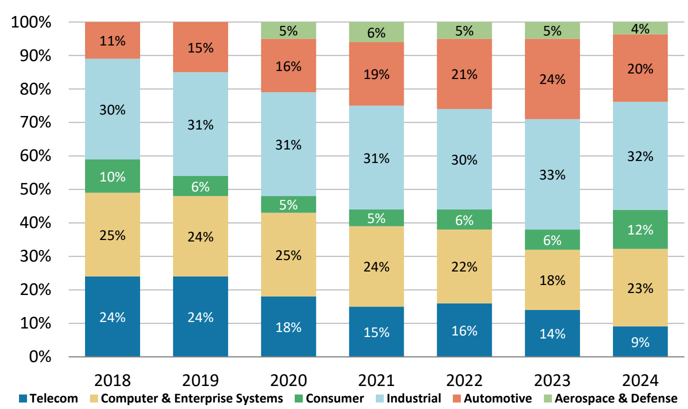
Source: Company data, Morgan Stanley Research

Exhibit 6: Quarterly Sales, by Segment, 1Q23-3Q25



Source: Company data, Morgan Stanley Research

Exhibit 7: Annual Sales, by Segment, 2018-24



Source: Company data, Morgan Stanley Research

Earnings Estimates

We update our model for Yageo, which raises our 2025-27e EPS estimates by 3%, 3% and 1%, respectively. This mainly reflects the stronger revenue momentum that we are seeing, both from better demand but also favorable pricing, which is also reflected in our margin assumptions for CY26.

Exhibit 8: Earnings Estimates

	2025e Earnings Estimates			2026e Earnings Estimates			2027e Earnings Estimates		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**132,930**	**131,542**	**1%**	**148,645**	**149,134**	**0%**	**155,729**	**160,782**	**-3%**
COGS	-84,981	-84,172	1%	-92,695	-93,877	-1%	-95,193	-99,619	-4%
Gross profit	**47,949**	**47,370**	**1%**	**55,950**	**55,256**	**1%**	**60,537**	**61,163**	**-1%**
Operating expenses	-18,342	-18,530	-1%	-19,023	-19,606	-3%	-18,964	-19,886	-5%
Operating income	29,608	28,840	3%	36,927	35,650	4%	41,573	41,277	1%
Non-operating income	1,954	1,945	0%	2,692	2,655	1%	3,226	3,188	1%
Pre-tax income	31,562	30,786	3%	39,619	38,305	3%	44,799	44,466	1%
Income tax	-7,364	-7,230	2%	-9,196	-8,876	4%	-10,400	-10,321	1%
Net income	**24,076**	**23,434**	**3%**	**30,283**	**29,289**	**3%**	**34,258**	**34,005**	**1%**
EPS (NT$)	**11.73**	**11.41**	**3%**	**14.75**	**14.26**	**3%**	**16.68**	**16.56**	**1%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	36.1%	36.0%	0.1	37.6%	37.1%	0.6	38.9%	39.5%	-0.7
Operating margin	22.3%	21.9%	0.3	24.8%	23.9%	0.9	26.7%	27.0%	-0.3
Pre-tax margin	23.7%	23.4%	0.3	26.7%	25.7%	1.0	28.8%	29.0%	-0.2
Net margin	18.1%	17.8%	0.3	20.4%	19.6%	0.7	22.0%	22.2%	-0.2

Source: Morgan Stanley Research (e) estimates

Where are we vs. consensus earnings estimates?

We are 3% above the Street on CY25 EPS estimate, but 2% and 6% below the Street on CY26 and CY27 EPS estimates, respectively.

Exhibit 9: Morgan Stanley estimates vs. consensus

Yageo	MSe			Consensus			Variance		
	2025	2026	2027	2025	2026	2027	2025	2026	2027
Revenue	132,930	148,645	155,729	131,476	156,351	174,342	1%	-5%	-11%
GM	36.1%	37.6%	38.9%	36.0%	37.7%	38.7%	0.1%	0.0%	0.2%
OpM	22.3%	24.8%	26.7%	22.1%	24.3%	25.7%	0.2%	0.6%	1.0%
Net income	24,076	30,283	34,258	23,359	30,885	36,310	3%	-2%	-6%
EPS	11.73	14.75	16.68	11.38	15.04	17.68	3%	-2%	-6%

Source: Visible Alpha, Morgan Stanley Research estimates.

Price Target Discussion and Valuation Methodology

We raise our 12-month price target to NT$305 (from NT$293) on the back of our higher earnings estimates: This is our base case value, derived from our residual income valuation model. Similar to our analysis of other tech hardware companies within our coverage, we think this methodology provides the most accurate value of the firm by taking into account the cost of equity. Our key assumptions (all unchanged) are all similar to the other companies in our coverage:

- A cost of equity of 7.8%:
    - Risk-free rate of 1.0% (10-year Taiwan government bond yield);
    - Equity risk premium of 6.8%;
    - Beta of 1.1.
- A medium-term growth rate of 10%.
- A terminal growth rate of 3%.

Our price target implies 20.7x 2026e P/E and 18.3x 2027e P/E, which we view as justified, although it is above its five-year historical range of 8-18x, considering its longer-term transformation story to become a global total solutions provider, moving from passive into active components. Also, vs. its global passive component peers, we believe Yageo still looks undervalued with higher ROE and margins, but lower P/E vs its Japanese peers (which trade on average at 25x+ P/E).

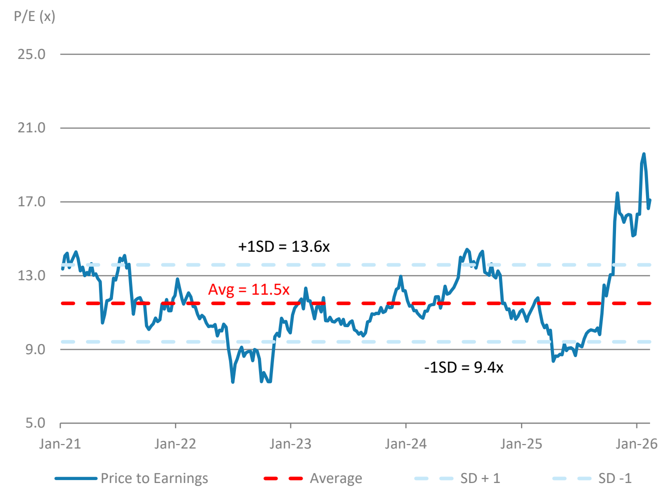
Our bull and bear case scenario values increase by similar magnitudes of change to our base-case value, to NT$462 and NT$153, respectively.

Exhibit 10: Residual income model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		**209,408**	**224,907**	**256,476**	**291,202**	**329,400**	**371,419**	**417,639**	**468,481**	**524,408**	**585,927**	**648,458**
Net Profit		**30,283**	**34,258**	**37,684**	**41,453**	**45,598**	**50,158**	**55,173**	**60,691**	**66,760**	**73,436**	**75,639**
Return on Equity		**15.1%**	**15.8%**	**15.7%**	**15.1%**	**14.7%**	**14.3%**	**14.0%**	**13.7%**	**13.4%**	**13.2%**	**12.3%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%
Residual Income		**14,071**	**16,786**	**17,760**	**18,922**	**20,194**	**21,589**	**23,120**	**24,800**	**26,645**	**28,673**	**26,339**
Spread		**7.3%**	**8.0%**	**7.9%**	**7.4%**	**6.9%**	**6.6%**	**6.2%**	**5.9%**	**5.7%**	**5.5%**	**4.5%**
Beginning Equity Capital		209,408										
PV of Forecast Period		147,051										
PV of Continuing Value		269,935										
Equity Value		**626,394**										
No. of Shares		2,054										
Projected Price		**305.0**										

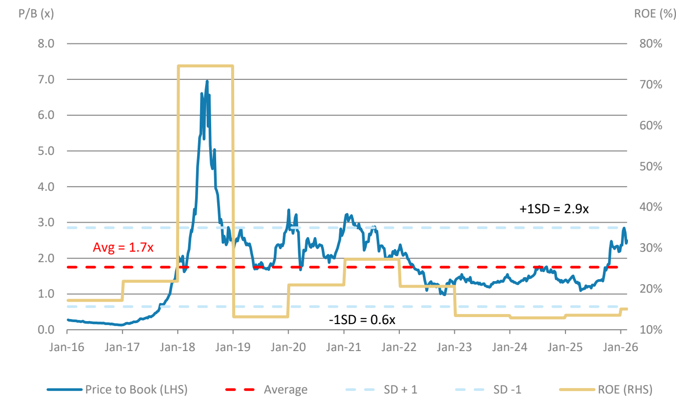
Source: Morgan Stanley Research (E) estimates

Exhibit 11: P/E



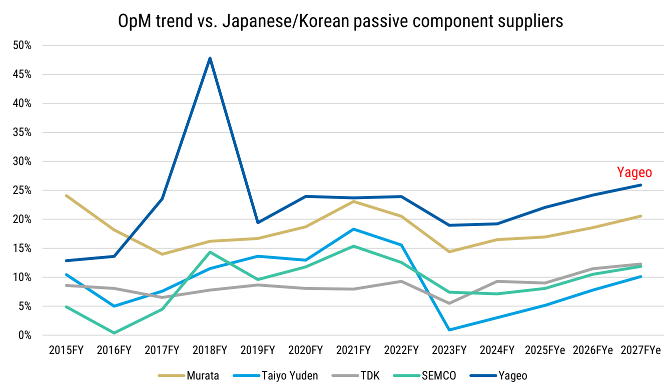
Source: TEJ, Morgan Stanley Research.

Exhibit 12: P/B



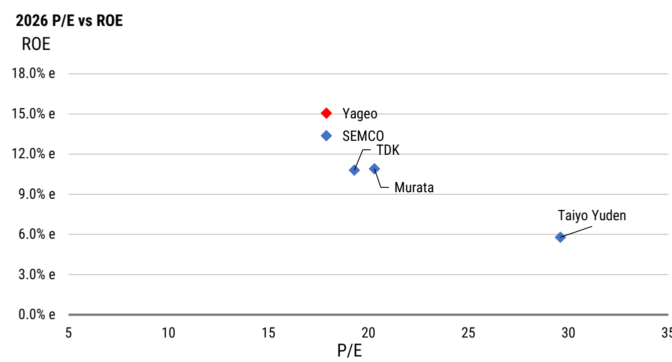
Source: TEJ, Morgan Stanley Research.

Exhibit 13: MLCC peers operating margins



Source: Morgan Stanley Research estimates.

Exhibit 14: 2026 P/E vs. ROE



Source: Morgan Stanley Research estimates.

Financials

Exhibit 15: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	2024	2025E	2026E	2027E
Net sales	**31,104**	**32,771**	**33,087**	**35,968**	**36,463**	**37,099**	**38,216**	**36,866**	**121,667**	**132,930**	**148,645**	**155,729**
COGS	(20,018)	(21,119)	(21,112)	(22,731)	(23,058)	(23,177)	(23,673)	(22,786)	(79,864)	(84,981)	(92,695)	(95,193)
Gross profit	**11,086**	**11,652**	**11,974**	**13,237**	**13,405**	**13,921**	**14,543**	**14,081**	**41,803**	**47,949**	**55,950**	**60,537**
Operating expenses	(4,623)	(4,609)	(4,412)	(4,698)	(4,784)	(4,790)	(4,770)	(4,680)	(18,418)	(18,342)	(19,023)	(18,964)
SG&A	(3,758)	(3,774)	(3,578)	(3,822)	(3,890)	(3,870)	(3,840)	(3,741)	(14,945)	(14,933)	(15,342)	(15,018)
R&D	(865)	(834)	(834)	(876)	(893)	(920)	(929)	(939)	(3,473)	(3,409)	(3,682)	(3,946)
Operating income	**6,463**	**7,044**	**7,562**	**8,539**	**8,621**	**9,131**	**9,773**	**9,401**	**23,386**	**29,608**	**36,927**	**41,573**
Non-operating income	**710**	**(15)**	**650**	**610**	**622**	**645**	**692**	**733**	**3,478**	**1,954**	**2,692**	**3,226**
Interest income	533	443	379	379	379	416	451	484	2,190	1,734	1,729	2,235
Investment income	117	24	144	131	143	129	142	149	322	416	562	590
Disposal of investment	100	0	0	0	0	0	0	0	314	100	0	0
Exchange gain	(148)	194	(110)	0	0	0	0	0	322	(65)	0	0
Other	108	(676)	237	100	100	100	100	100	330	(231)	400	400
Pre-tax income	**7,173**	**7,028**	**8,212**	**9,148**	**9,244**	**9,776**	**10,466**	**10,133**	**26,863**	**31,562**	**39,619**	**44,799**
Income tax	(1,610)	(2,016)	(1,817)	(1,921)	(2,126)	(2,640)	(2,302)	(2,128)	(7,377)	(7,364)	(9,196)	(10,400)
Minority interest	33	14	39	35	35	35	35	35	130	122	140	140
Net income	**5,530**	**4,998**	**6,356**	**7,192**	**7,083**	**7,102**	**8,128**	**7,970**	**19,356**	**24,077**	**30,283**	**34,258**
Adj.wtd.avg.shrs (mn)	2,053	2,053	2,054	2,054	2,054	2,054	2,054	2,054	2,021	2,053	2,054	2,054
EPS	**2.69**	**2.43**	**3.10**	**3.50**	**3.45**	**3.46**	**3.96**	**3.88**	**9.58**	**11.73**	**14.75**	**16.68**
Fully Diluted shares (mn)	2,459	2,456	9,823	9,823	9,823	9,823	9,823	9,823	2,021	2,053	2,054	2,054
Diluted EPS (NT$)	**2.25**	**2.03**	**0.65**	**0.73**	**0.72**	**0.72**	**0.83**	**0.81**	**9.58**	**11.73**	**14.75**	**16.68**
Margins (%)												
Gross Margin	35.6	35.6	36.2	36.8	36.8	37.5	38.1	38.2	34.4	36.1	37.6	38.9
Operating Margin	20.8	21.5	22.9	23.7	23.6	24.6	25.6	25.5	19.2	22.3	24.8	26.7
Pretax Margin	23.1	21.4	24.8	25.4	25.4	26.4	27.4	27.5	22.1	23.7	26.7	28.8
Net Margin	17.8	15.3	19.2	20.0	19.4	19.1	21.3	21.6	15.9	18.1	20.4	22.0
QoQ Growth (%)												
Sales	4	5	1	9	1	2	3	-4				
Gross Profit	11	5	3	11	1	4	4	-3				
Operating Profit	20	9	7	13	1	6	7	-4				
Pretax Profit	15	-2	17	11	1	6	7	-3				
Net Profit	49	-10	27	13	-2	0	14	-2				
YoY Growth (%)												
Sales	9	4	4	20	17	13	16	2	13	9	12	5
Gross Profit	15	6	7	33	21	19	21	6	16	15	17	8
Operating Profit	31	9	14	59	33	30	29	10	14	27	25	13
Pretax Profit	18	-5	15	46	29	39	27	11	10	17	26	13
Net Profit	21	-8	13	94	28	42	28	11	11	24	26	13

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 16: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Net sales	**121,667**	**132,930**	**148,645**	**155,729**
COGS	(79,864)	(84,981)	(92,695)	(95,193)
Gross profit	**41,803**	**47,949**	**55,950**	**60,537**
Operating expenses	(18,418)	(18,342)	(19,023)	(18,964)
Operating income	**23,386**	**29,608**	**36,927**	**41,573**
Non-operating income	**3,478**	**1,954**	**2,692**	**3,226**
Interest income	2,190	1,734	1,729	2,235
Investment income	322	416	562	590
Disposal of investment	314	100	-	-
Exchange gain	322	(65)	-	-
Other	330	(231)	400	400
Pre-tax income	**26,863**	**31,562**	**39,619**	**44,799**
Income tax	(7,377)	(7,364)	(9,196)	(10,400)
Minority interests	130	122	140	140
Net income	**19,356**	**24,076**	**30,283**	**34,258**
Adj. wtd. Avg. shrs (m)	2,021	2,053	2,054	2,054
Reported EPS (NT$)	**9.58**	**11.73**	**14.75**	**16.68**
Diluted shrs (m)	2,021	2,053	2,054	2,054
Diluted EPS (NT$)	**9.58**	**11.73**	**14.75**	**16.68**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Operating Cashflow	**31,162**	**31,398**	**33,757**	**42,258**
Net Profits	19,356	24,077	30,283	34,258
Depreciation & Amort.	9,629	9,629	9,348	9,103
Investment losses/(income)	(636)	(416)	(562)	(590)
Working capital change	63,403	(1,203)	(4,490)	(143)
Other adjustments	(60,280)	(588)	(821)	(370)
Investing Cashflow	**(29,760)**	**(7,691)**	**(7,655)**	**(7,638)**
Capex	(6,646)	(8,000)	(8,000)	(8,000)
Change of L/T investment	(4,912)	0	0	0
Change of S/T investment	2,901	0	0	0
Other adjustments	(21,385)	0	0	0
Financing Cashflow	**2,780**	**8,813**	**(9,973)**	**(17,244)**
Increase in L/T debt	3,197	(1,000)	(1,000)	(1,000)
Increase in S/T debt	8,003	0	0	0
Issuance of stock	0	15,345	0	0
Cash dividends	(8,369)	(8,593)	(13,244)	(18,170)
Other adjustments	(51)	3,060	4,270	1,925
FX adjustment	3,984	65	0	0
Net change in cash	**8,166**	**32,585**	**16,130**	**17,375**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2024	2025E	2026E	2027E
Cash	**61,118**	**93,703**	**109,833**	**127,208**
Mkt securities	41,022	41,022	41,022	41,022
AR/NR	21,969	24,352	27,743	28,809
Inventory	27,823	29,421	34,706	35,139
Others	6,356	6,945	7,766	8,136
Current Assets	**158,288**	**195,442**	**221,070**	**240,314**
Long-term investments	39,774	39,774	39,774	39,774
Fixed assets	66,410	64,472	62,778	61,313
Other assets	102,204	102,204	102,204	102,204
Total Assets	**366,676**	**401,892**	**425,825**	**443,604**
S/T borrowings	70,633	70,633	70,633	70,633
AP/NP	15,003	15,965	17,414	17,883
Other ST liabilities	28,342	30,158	32,896	33,782
Total Current Liabilities	**113,978**	**116,756**	**120,942**	**122,298**
L/T debt	57,084	56,084	55,084	54,084
Other LT libilities	33,060	36,121	40,391	42,316
Total Liabilities	**204,123**	**208,960**	**216,417**	**218,698**
Common shares	5,188	20,533	20,533	20,533
Retained Earnings	95,186	110,219	126,696	142,194
Other SH' Equity	62,179	62,179	62,179	62,179
Total Shareholders' Equity	**162,553**	**192,931**	**209,408**	**224,907**
Total Liab./SH's Equity	**366,676**	**401,892**	**425,825**	**443,604**

Consolidated Financial Ratios

	2024	2025E	2026E	2027E
Margins (%)				
Gross margin	34.4	36.1	37.6	38.9
Operating margin	19.2	22.3	24.8	26.7
Pretax margin	22.1	23.7	26.7	28.8
Net margin	15.9	18.1	20.4	22.0
YoY growth (%)				
Sales	13.1	9.3	11.8	4.8
Operating profits	14.5	26.6	24.7	12.6
Pretax profits	10.3	17.5	25.5	13.1
Net profits	11.1	24.4	25.8	13.1
Others				
Cash dividend payout (%)	44%	55%	60%	60%
Cash div (NT$)	4.18	6.45	8.85	10.01
Yield (%)	2%	3%	3%	4%
Net Debt/Equity (%)	16%	-4%	-12%	-19%
Liabilities/Equity (%)	126%	108%	103%	97%
Liabilities/Assets (%)	56%	52%	51%	49%
ROAE (%)	13%	14%	15%	16%
ROAA (%)	6%	6%	7%	8%
AR/NR Turnover (days)	64	64	64	66
Inventory Turnover (days)	127	123	126	134
AP/NP Turnover (days)	69	67	66	68
Cash conversion cycle	122	120	124	133

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of January 31, 2026)
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Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

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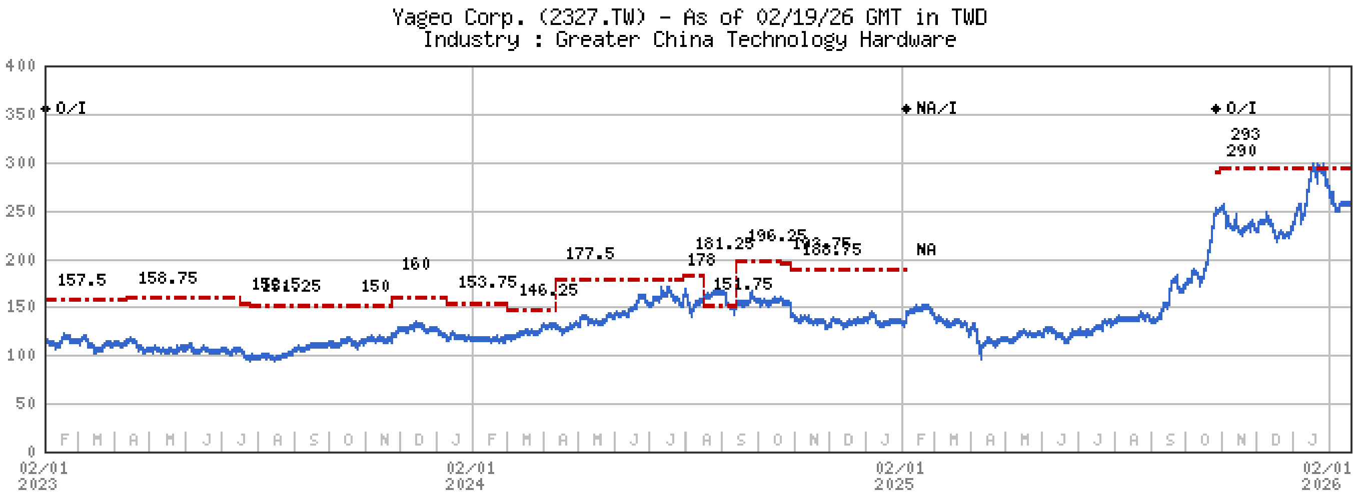

Stock Rating History: 2/1/21 : O/I; 5/12/21 : E/I; 1/4/22 : O/I; 2/5/25 : NA/I; 10/28/25 : O/I

Price Target History: 1/15/21 : 213.59; 2/24/21 : 230.86; 3/11/21 : 238.72; 4/22/21 : 245; 5/12/21 : 166.47; 6/7/21 : 169.61; 7/7/21 : 172.76; 7/27/21 : 182.18; 10/19/21 : 141.35; 1/4/22 : 188.46; 6/23/22 : 155.48; 8/12/22 : 144.49; 10/28/22 : 116.25; 11/10/22 : 123.75; 1/9/23 : 157.5; 4/12/23 : 158.75; 7/17/23 : 152.5; 7/26/23 : 151.25; 10/18/23 : 150; 11/23/23 : 160; 1/9/24 : 153.75; 3/1/24 : 146.25; 4/11/24 : 177.5; 7/23/24 : 178; 7/30/24 : 181.25; 8/15/24 : 151.75; 9/12/24 : 196.25; 10/21/24 : 193.75; 10/29/24 : 188.75; 2/5/25 : NA; 10/28/25 : 290; 10/31/25 : 293

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/16/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$36.74
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb70.02
BYD Electronics (0285.HK)	O (04/28/2023)	HK$32.74
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb11.85
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.92
Eoptolink Technology Inc Ltd (300502.SZ)	U (09/11/2025)	Rmb366.11
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$429.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb6.17
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.38
Largan Precision (3008.TW)	E (10/17/2025)	NT$2,290.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.80
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK$8.82
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb85.45
Shanghai Conant Optical Co Ltd (2276.HK)	E (09/11/2025)	HK$63.55
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb58.63
Sunny Optical (2382.HK)	O (07/10/2025)	HK$57.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb311.58
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb33.18
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$36.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb213.39
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK$115.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb124.50
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb26.51
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb531.00
ZTE Corporation (0763.HK)	E (03/11/2024)	HK$27.32

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb37.16
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,450.00
Advantech (2395.TW)	O (01/20/2021)	NT$305.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,200.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$16.15
Bizlink (3665.TW)	O (03/10/2025)	NT$1,365.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.18
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK$4.79
Chenbro (8210.TW)	O (07/23/2025)	NT$975.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,050.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT$189.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$35.70
Hiwin Technologies Corp. (2049.TW)	U (05/12/2025)	NT$232.00
Innolux (3481.TW)	E (04/07/2025)	NT$21.95
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$3,030.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.29
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT$126.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb15.91
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.56
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.65
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb141.13
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$27.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$523.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$30.60
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.49
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$229.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$829.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb65.33
Lenovo (0992.HK)	E (11/16/2025)	HK$9.30
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,645.00
Nan Ya PCB (8046.TW)	U (12/21/2022)	NT$416.00
Pegatron Corporation (4938.TW)	U (11/16/2025)	NT$70.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$286.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb64.25
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb235.00
Unimicron (3037.TW)	E (04/15/2025)	NT$369.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$131.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$3,740.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$256.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT$178.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$1,605.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,065.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$192.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,260.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,545.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb54.75
Foxconn Technology (2354.TW)	U (04/23/2025)	NT$58.70
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb26.16
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$227.00
LandMark Optoelectronics Corporation (3081.TWO)	O (01/19/2026)	NT$1,085.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb15.39
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$179.50

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.80
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT$144.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT$153.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$180.00

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